

NAVIGATING INDIA'S INVESTMENT FRONTIER: FOREIGN INVESTOR EXPECTATIONS FOR UNION BUDGET 2026-27

As India strides toward becoming a US\$4 trillion economy, the upcoming Union Budget is viewed by the global business community as a pivotal moment to refine the nation's tax and regulatory landscape. With the new Income-tax Act, 2025, set to take effect on 1 April 2026, foreign investors and multinationals are seeking a framework that prioritizes clarity, predictability, and ease of compliance to sustain investment momentum.



1. Incentivizing the Digital Backbone: AI and Data Centers

India's data center industry is a critical enabler for Artificial Intelligence (AI) and digital transformation, yet it faces high upfront capital requirements. Investors are urging the government to provide tax holidays or exemptions for companies undertaking massive capex in data centers and IT parks, noting that such projects are vital for data sovereignty and employment. Specific recommendations include introducing a concessional 15% corporate tax rate or a 10-year tax holiday for qualifying operations. Furthermore, to improve project viability, the industry expects full GST Input Tax Credit (ITC) or refunds on capital assets such as construction and electrical systems, alongside customs duty waivers on critical imported equipment like high-efficiency cooling systems and racks.

2. Scaling Global Capability Centres (GCCs) and Enhancing Ease of Business

India currently hosts over 1,800 GCCs, making it a global hub for high-value innovation. To maintain this edge, there is a strong demand for a concessional tax regime for newly established or expanding GCCs, potentially mirroring the 15% rate previously offered to manufacturing units. Operational friction remains a concern; specifically, the industry seeks clarity on cross-border secondment arrangements. Currently, reimbursements for seconded staff often trigger double withholding under Sections 192 and 195, leading to prolonged litigation. A clarification that salary already subject to withholding under Section 192 should not be taxed again under Section 195 would significantly improve the Ease of Doing Business. Additionally, rationalizing Safe Harbour margins to reflect actual business realities (suggested reduction to 14-15%) would encourage more GCCs to opt for certainty over litigation.

3. Fair and Simpler Dispute Resolution

The scale of appellate delay is a major deterrent, with over five lakh appeals pending before the National Faceless Appeal Centre as of March 2024. Disputes can take more than 20 years to conclude, locking up significant capital. To address this, the industry proposes clubbing similar matters for disposal and providing direct access to the Income Tax Appellate Tribunal (ITAT) for high-value disputes exceeding INR 10 crores. There is also a push to reduce the mandatory pre-deposit for stay of demand from 20% to 10%, easing working capital strain for high-volume operations. Permitting fresh, genuine claims during the assessment stage—currently restricted by the Goetze India ruling—would further ensure that tax is levied only on real income.

4. Anchoring Tax Policy Certainty

Foreign investors require a roadmap for complex provisions like Significant Economic Presence (SEP). While thresholds have been notified, the lack of final profit attribution rules creates uncertainty for non-residents estimating their Indian tax liability. Industry advocates for clear rules using objective parameters like user base or revenue contribution. Furthermore, there is a request to ensure that retrospective notifications defining treaty terms do not lead to unintended tax consequences or the reopening of concluded assessments.

5. Simplifying Capital Gains Taxation

The reform of the capital gains regime remains a top priority to enhance market depth. Expectations include reducing the holding period for business "undertakings" from 36 months to 24 months to qualify for long-term status, aligning it with other capital assets. Investors also seek clarity on the taxation of contingent consideration, recommending that such gains be chargeable only in the year they are crystallized rather than the year of transfer. For foreign investors, exempting genuine transactions involving frequently traded listed shares acquired off the stock exchange from anti-abuse provisions would support legitimate M&A activities.

6. Respecting Tax Treaties and MFN Protocols

Following the Supreme Court's ruling in the Nestlé matter, Most Favoured Nation (MFN) clauses are no longer self-executing and require a specific CBDT notification. This has created prospective and retrospective uncertainty for taxpayers from jurisdictions like France, Spain, and the Netherlands. Foreign businesses expect a transparent and time-bound process for issuing these notifications and the publication of an updated status list for all treaties to ensure administrative certainty. Respecting these international protocols is seen as essential for India's reputation as a reliable destination for global capital.

7. Certainty on tax grandfathering provided under tax treaties

In the wake of the Supreme Court's Tiger Global ruling narrowing tax treaty grandfathering by prioritizing substance over form and enabling denial of treaty benefits where structures lack commercial substance, the upcoming Union Budget should provide clear statutory guidance on treaty grandfathering limits to restore cross-border investment certainty.

Conclusion

Ultimately, the expectations of foreign businesses and investors for the Union Budget 2026-27 are centered on a singular vision: transitioning India from a high-growth market into a high-trust global business partner. As the nation progresses toward its goal of becoming a US\$4 trillion economy, the global community is looking for a tax landscape defined by stability rather than radical shifts, particularly with the implementation of the new Income-tax Act.

Foreign investors are not merely seeking a new basket of incentives, but a predictable ecosystem where the core themes of "invest, innovate, and grow" are supported by clear administrative processes and a non-adversarial tax regime. By addressing systemic friction—ranging from decades-long litigation backlogs to complexities in cross-border withholding—the government can firmly align its fiscal policy with the "Viksit Bharat 2047" ambition. This alignment will ensure that India reinforces its standing as the world's most compelling frontier for global capital, high-value innovation, and long-term economic resilience.



Tabular Summary

Tax treatment of foreign cloud use of Indian data centres	Clarify that standard hosting/colocation by Indian DC operators does not create a Business Connection or PE for foreign CSPs; confirm that arm's-length remuneration to Indian DC operators satisfies India's taxing rights; issue practical illustrations aligned with SC and OECD principles.
Invoking MFN clause in tax treaties	After the SC ruling in <i>Nestlé SA</i> , MFN benefits apply only after a CBDT notification. Establish a time-bound notification process and publish an updated list of notified MFN cases to ensure treaty certainty.
Significant Economic Presence (SEP) related issues	Issue attribution rules for SEP; exclude royalty/FTS from SEP scope and thresholds; clarify that non-taxability under royalty/FTS provisions does not trigger SEP; prescribe a nominal 0.1% TDS rate for SEP-only goods transactions to align with S.194Q.
Align PE definition in IT Act with treaty definition	Insert an explanation in S.92F to state that where a treaty exists, "PE" shall have the meaning in the treaty; for non-treaty cases, CBDT may issue rules to define PE categories consistently.
Digitisation and flexibility in TRC issuance	Permit use of prior-year TRC with a "no-change" residential status declaration; introduce digitally signed TRCs through the income-tax portal for Indian residents.



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